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I&M Group Q1'2026 Earnings Note

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I&M Bank Q1'26 Earnings Note

8th June 2026

Ticker Information	
NSE Code:	IMH
Issued Shares (Bn):	1.74
52-week high:	KES 52.00
52-week low:	KES 29.50

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	6.0%	5.8%	16.2%	54.6%

Recommendation	Current Price	Target Price
BUY	KES 52.50	KES 58.72

Summary

- I&M Group delivered a strong set of Q1'2026 results, with Profit After Tax (pre-NCI) rising 19.4% y/y to KES 5.04Bn, supported by robust growth in funded income, improving asset quality, and continued momentum across regional subsidiaries. Net Interest Income expanded 31.1% y/y to KES 12.29Bn, driven by a sharp increase in income from government securities and lower funding costs, which more than offset the modest growth in lending income. The Group's balance sheet remained resilient, with customer deposits growing 25.8% y/y to KES 512.10Bn, significantly outpacing loan growth and reinforcing its funding profile. Asset quality continued to improve, with the Gross NPL ratio declining to 9.2% from 11.1% a year earlier, while regional subsidiaries contributed 31.0% of Group PBT, highlighting the growing importance of earnings diversification in supporting sustainable growth.

Key Highlights

- **Earnings Mix:** I&M opened 2026 with a strong earnings performance, with Profit Before Tax rising 9.9% y/y to KES 6.24Bn and Profit After Tax (pre-NCI) increasing 19.4% y/y to KES 5.04Bn. The performance was largely driven by a 31.1% y/y growth in Net Interest Income to KES 12.29Bn, reflecting both margin expansion and a changing asset mix. Income from government securities surged 74.7% y/y to KES 6.69Bn as the Group deployed additional liquidity into fixed-income assets, benefiting from attractive yields amid strong deposit growth and a highly liquid balance sheet. Meanwhile, interest income from loans and advances grew 6.0% y/y to KES 11.08Bn, supported by steady loan book growth despite a measured credit environment. Earnings were further boosted by lower funding costs, with interest expense on customer deposits declining 6.7% y/y to KES 4.81Bn, highlighting effective liability repricing and an improving funding mix. On the non-funded side, income increased 7.1% y/y to KES 3.85Bn, supported by higher loan-related fees, foreign exchange trading income, and continued traction in wealth management. Consequently, total operating income rose 24.4% y/y to KES 16.14Bn, underscoring the Group's ability to grow earnings through a combination of margin expansion, diversified revenue streams, and disciplined balance sheet deployment.
- **Asset Quality:** I&M's asset quality continued to strengthen in Q1'2026, with gross non-performing loans declining 8.3% y/y to KES 31.58Bn, resulting in the Gross NPL ratio improving to 9.1% from 11.1% a year earlier. Notably, the Net NPL ratio narrowed further to 2.6% from 4.3%, while net NPL exposure remained fully covered by collateral, underscoring the resilience of the loan book.

Operating Efficiency

I&M's profitability remained resilient despite a deliberate increase in investment spending across the franchise. Total operating expenses rose 35.8% y/y to KES 9.90Bn, driven by the rollout of 12 new branches, a 5.0% increase in staff headcount and continued investment in technology, brand visibility and operational capacity. Consequently, the cost-to-income ratio edged up to 45.2% from 44.0% a year earlier, though it remained comfortably within management's medium-term target range. Despite the higher cost base, profitability remained resilient, with ROE and ROA holding at 18.0% and 3.0% respectively.

Balance Sheet

I&M's balance sheet remained robust in Q1'2026, with total assets expanding 30.6% y/y to KES 742.51Bn, supported by growth across loans, investment securities and placements. Net loans and advances increased 10.0% y/y to KES 322.92Bn, while customer deposits surged 25.8% y/y to KES 512.10Bn on the back of strong deposit mobilisation efforts across the Group. The faster pace of deposit growth relative to lending saw the loan-to-deposit ratio remain at a comfortable 63.3%, providing ample liquidity to support future credit expansion. Additionally, the CASA ratio improved to 51.0% from 49.0%, reinforcing funding stability and supporting margin resilience. Capital and liquidity buffers remained strong, with Core Capital/TRWA and Total Capital/TRWA standing at 17.7% and 21.2% respectively, while the liquidity ratio strengthened to 65.0%, well above regulatory requirements

Outlook

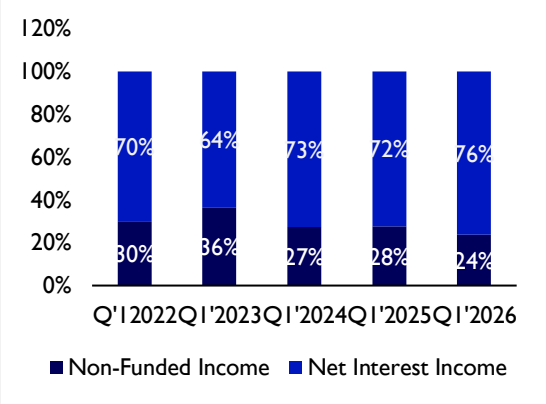
As I&M enters the final year of its iMara 3.0 strategy, we believe the Group is well-positioned to translate the investments made over the past two years into stronger earnings growth. The strategy has already delivered tangible results through accelerated customer acquisition, deeper digital adoption and growing contributions from regional subsidiaries, providing the Group with a broader and more diversified earnings base.

Looking ahead, we expect a gradual recovery in credit demand and the Group's strong liquidity position to drive renewed momentum in core lending activities. Beyond lending, the continued expansion of wealth management, ecosystem partnerships, and regional operations should support revenue diversification and reduce earnings concentration risk. While external uncertainties remain, including geopolitical developments and the pace of economic recovery, we view I&M's strong funding profile, improving asset quality, and diversified franchise as key pillars supporting sustainable growth through 2026.

Recommendation

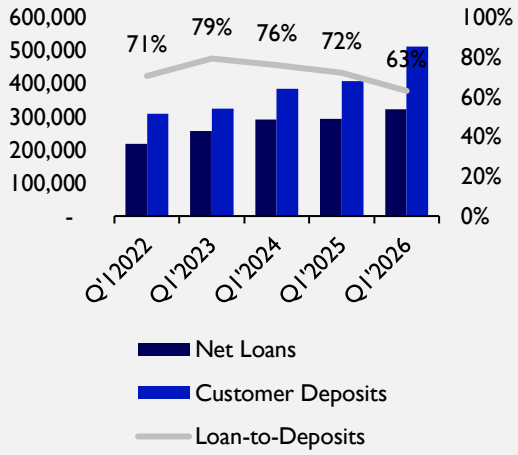
- **We issue a BUY recommendation on I&M Holdings, supported by strong earnings momentum, improving revenue diversification and growing contributions from regional subsidiaries.** At the current market price, the stock is trading at a P/E ratio of 4.9x and a P/B ratio of 0.7x. Our one-year target price for I&M currently stands at KES 58.72 - representing a c 11.8 % upside potential from current levels.

Chart 2: Earnings Mix



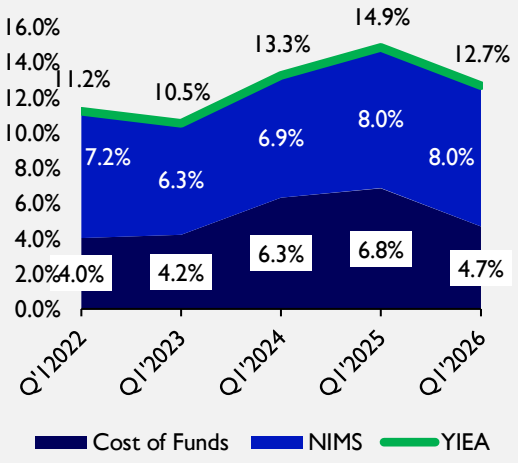
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Margins trend



Source: Company filings, AIB-AXYS Research.

Statement of comprehensive income	Q'12022	Q1'2023	Q1'2024	Q1'2025	Q1'2026	%Change
Net Interest Income	5,205.2	6,091.5	8,387.3	9,375.3	12,291.9	▲ 31.1%
Net non-Interest Income	2,195.3	3,485.1	3,158.9	3,591.5	3,846.4	▲ 7.1%
Total Operating income	**7,400.5**	**9,576.6**	**11,546.2**	**12,966.8**	**16,138.4**	▲ 24.5%
Provision for Impairment	(480.7)	(1,641.9)	(1,537.0)	(1,598.7)	(2,610.3)	▲ 63.3%
Total Operating expenses	(3,850.2)	(6,032.1)	(6,638.2)	(7,288.0)	(9,897.9)	▲ 35.8%
Profit before tax	**3,550.3**	**3,544.5**	**4,908.0**	**5,678.8**	**6,240.5**	▲ 9.9%
Profit after tax	**2,709.8**	**2,656.6**	**3,598.2**	**4,218.9**	**5,039.3**	▲ 19.4%
Core EPS Annualized	5.89	5.84	7.64	9.50	11.58	▲ 19.4%

Balance Sheet	Q'12022	Q1'2023	Q1'2024	Q1'2025	Q1'2026	%Change
Total Investment Securities	108,562.1	110,694.0	108,353.8	151,205.6	266,655.6	▲ 76.4%
Loans and Advances	218,406.3	257,715.0	291,481.8	293,661.6	322,921.6	▲ 10.0%
Total Assets	**430,830.8**	**472,605.7**	**532,962.6**	**568,413.7**	**742,507.4**	▲ 30.6%
Customer Deposits	309,423.7	324,673.5	383,876.6	407,041.7	512,101.3	▲ 25.8%
Total Liabilities	**355,587.0**	**388,150.3**	**439,305.3**	**461,455.8**	**611,920.7**	▲ 32.6%
Shareholder's Funds	**70,511.5**	**78,952.2**	**87,245.8**	**99,870.0**	**123,297.4**	▲ 23.5%

Ratio Analysis	Q'12022	Q1'2023	Q1'2024	Q1'2025	Q1'2026	%Change
Spreads Analysis						
Yield on Assets	11.2%	10.5%	13.3%	14.9%	12.7%	▼ (2.2%)
Cost of Funds	4.0%	4.2%	6.3%	6.8%	4.7%	▼ (2.2%)
Net Interest Margin	7.2%	6.3%	6.9%	8.0%	8.0%	▲ 0.0%
ROaE	13.1%	15.0%	16.1%	16.4%	18.0%	▲ 1.6%
ROaA	2.2%	2.5%	2.7%	2.8%	3.0%	▲ 0.2%
Profit Margin	36.6%	27.7%	31.2%	32.5%	31.2%	▼ (1.3%)
Operating Efficiency						
Cost to Income Less LLP	45.5%	45.8%	44.2%	44.0%	45.2%	▲ 1.2%
Cost to Assets less LLP	0.8%	0.9%	1.0%	1.0%	1.0%	▼ (0.0%)
Loan to Deposit	70.6%	79.4%	75.9%	72.1%	63.1%	▼ (9.1%)
Asset Quality						
NPL	10.2%	10.8%	11.0%	11.1%	9.2%	▼ (1.8%)
NPL Coverage	72.1%	65.8%	58.3%	63.6%	73.4%	▲ 9.8%
Cost of Risk	0.2%	0.6%	0.5%	0.5%	0.8%	▲ 0.3%
Capital Adequecy						
Core Capital/TRWA	15.8%	15.6%	15.0%	16.3%	17.7%	▲ 1.5%
Total Capital /TRWA	20.6%	19.9%	18.3%	18.8%	21.2%	▼ (17.7%)
Liquidity	52.8%	46.2%	44.2%	50.4%	65.0%	▲ 14.6%

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